

INSURANCE AND PENSIONS COMMISSION



**FIRST QUARTER REPORT
FOR
SELF ADMINISTERED PENSION FUNDS**

FIRST QUARTER ENDED 31 MARCH 2016

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2.0 Industry Overview

This report covers self-administered funds only. There are 17 stand-alone self-administered funds that are reported on, 32 self-administered funds under the administration of life companies and 138 self-administered funds under fund administrators.

From the comparative statistics for last year, self-administered funds realized contributions growth of 60% to conclude the quarter at \$351million (March 2015: \$220million). However, 85% or \$297 million were in arrears (March 2015: 70% or \$153million). Administrative measures including payment plans are in place and IPEC continues to monitor adherence to same.

Fund administrators reported received contributions amounting to \$29million (March 2015: \$61million) and administrative expenditure bill of \$18million reflecting a 63% expense ratio (March 2015: 21% or \$13million). To curb the corrosive effects of high expense ratios, IPEC has prosecuted several measures with fund administrators including tight monitoring of all expenditure line items

Total asset grew from \$2,032billion reported last year to \$2,086billion which was constituted as follows:
- standalone funds (\$1,276billion or 61%), fund administrators (24% or \$493million) and insurer – administered funds (\$317million or 15%). The prescribed asset ratio improved from 5% to 7% mainly due to improved availability of relevant paper as well as fining incompliant funds (See Table 2.2below).

2.2 Financial Summary for Self-Administered Funds-31 March 2016

Item	Standalone Funds			Insurer Administered			Fund Administrators			TOTALS		
	Mar-15	Mar-16	%	Mar-15	Mar-16	%	Mar-15	Mar-16	%	Mar-15	Mar-16	%
Arrear Contributions (\$000)	85,037	220,065	108%	37,568	38,806	3%	30,486	38,208	5%	153,091	297,079	94%
Total Contributions (Incl. Arrears) (\$000)	118,480	246,299	108%	49,971	50,701	1%	51,586	54,431	5%	220,037	351,431	60%
Total Contributions (Excl. Arrears) (\$000)	33,444	26,734	-20%	12,403	11,895	-4%	15,100	16,223	-7%	60,947	54,852	-10%
Total Income (\$000)	47,649	45,514	-5%	15,015	7,668	-49%	35,165	22,032	-37%	97,829	75,214	-23%
Total Benefits	17,909	23,301	30%	4,339	6,549	51%	26,440	15,118	-43%	48,688	44,968	-8%
Total Expenses (\$000)	4,906	8,176	58%	1,898	2,981	57%	6,268	6,905	10%	13,072	18,062	38%
Net Income (\$000)	24,834	14,037	57%	8,778	1,862	121%	2,397	-9	100%	36,009	15,890	-56%
(Expense/Received Contributions) %	15%	31%	16%	15%	25%	10%	42%	43%	1%	21%	63%	42%
(Expense/Total Income) %	10%	18%	8%	13%	39%	26%	18%	31%	-13%	13%	24%	11%
Total Assets (\$000)	1,190,923	1,275,860	7%	322,630	317,029	-2%	518,940	493,114	5%	2,032,493	2,086,003	3%
Prescribed Assets (\$000)	33,483	60,320	70%	16,026	28,221	76%	44,043	58,410	33%	93,552	146,951	57%
Prescribed Asset Ratio (%)	3%	5%	2%	5%	9%	4%	8%	12%	4%	5%	7%	2%

The logo of the Insurance & Pensions Commission (IPEC) is a circular emblem. It features a yellow bird perched on a white banner with a rainbow. The word "ipec" is written in a stylized, lowercase font. The outer ring of the emblem contains the text "Insurance & Pensions Commission" in a serif font. The entire logo is set against a blue background with a yellow border.

SECTION A

STAND ALONE FUNDS

3.0 Standalone Self-Administered Pension Funds

This report is based on 17 standalone funds (See Table 1, below). Funds which fail to submit their returns on time will be fined in terms of the Act.

Table 1: Standalone Self- Administered Pension Funds

Fund Name	Mar 2016
Catering Industry Pension Fund	1
Clothing Industry Pension Fund	1
Communication and Allied P/Fund	1
Construction Industry P/Fund	1
CFI Pension Fund	1
Local Authorities Pension Fund	1
Mining Industry Pension Fund	1
NRZ Pension Fund	1
ZB Financial Holdings P/Fund	1
Zimbabwe Electricity Industry Pension Fund	1
ZESA Pension Fund	1
Specialized Business Machines	1
GMB Pension Fund	1
Motor Industry Pension Fund	1
Pentact Pension Scheme	1
Unified Councils Pension Fund	1
ZMDC Pension Fund	1
TOTALS	17

*Returns not submitted

4.0 Pension Fund Membership

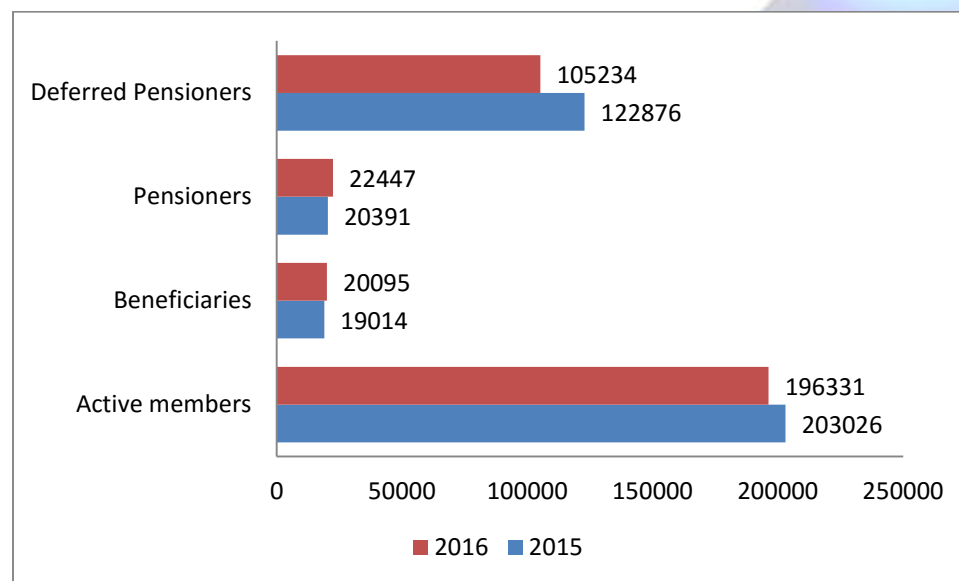
Total fund membership decreased by 6% for the period ending 31 March 2016. At the end of March 2015 the total membership was 366, 710 to the current figure of 345, 625. The major contributor to the declining membership is active membership which fell from 203,026 at the end of March 2015 to 196,331 at the end of March 2016. This could have been due to the spate of retrenchments which took place in 2015 after the Supreme Court ruling which saw many employers taking liberty to remove employees from their employ without benefits. Deferred pensioners also fell by 14% from 122, 876 to 105,234 showing that some deferred pensioners reached retirement age. (See Table 2 and Figure 1, below).

Table 1: Fund Membership for Standalone Self- Administered Pension Funds

Fund	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Mar-15	Mar-16	%	Mar-15	Mar-16	%	Mar-15	Mar-16	%	Mar-15	Mar-16	%	Mar-15	Mar-16	%	Mar-15	Mar-16	%
CatPF	13,814	13663	-1	52257	33009	-37	0	1600	*	0	0	0	0	0	0	66,071	46832	-29
Clo IPF	12,338	13,588	10	10,965	11,324	3%	0	0	0	0	0	0	-60	0	-100	23,303	25,070	8
CAIPF	3,231	2,895	-10	4,195	4,218	0.5	1,442	1,762	22	2,803	2,798	0	-55	-25	-55	11,671	11,673	0
CIPF	65,000	57,776	-11	5,781	6,012	4	74	76	3	116	127	9	571	-551	-196	70,971	63,991	-10
LAPF	19,165	18,284	-5	0	-	*	4,383	5,243	20	7,443	7,272	-2	-68	-55	-19	30,991	30,798	-1
MIPF	26,403	24,431	-7	45,400	46,842	3	8,311	8,882	7	1,311	1,358	4	-438	-758	73	81,425	81,513	0
NRZ	6,501	5,598	-14	1,900	2,233	18	4,633	4,904	6	7,565	6,967	-8	-92	-96	4	20,599	19,891	-3
ZB FHGPf	670	647	-3	849	895	5	363	359	-1	172	171	-1	-9	-12	33	2,054	2,072	1
Z/ E Industry	6,758	6,483	-4	0	0	0	402	720	79	156	289	85	0	0	*	7,316	7,492	2
ZESA PF	*	0	*	*	0	*	*	0	*	*	0	*	*	0	*	*	0	*
S/B Ma	*	5	*	*	1	*	*	0	*	*	0	*	*	0	*	*	6	*
GMB	1,972	690	-65	686	686	0%	27	27	0	0	0	0	-18	-63	250	2,685	1,403	-48
Motor Ind	46,280	46,283	0	0	0	0%	261	142	-46	29	31	7	0	0	0	46,570	46,456	0
Pentact P/F	3	3	0	0	0	0%	0	0	0	0	0	*	0	0	0	3	3	0
Unified P/F	*	5,323	*	*	14	*	*	98	*	*	1	*	*	89	0	*	5,436	*
ZMDC	176	175	*	0	0	*	68	74	*	78	0	-100	*	0	0	322	327	%
Totals	203,026	196,331	-3	122,876	105,234	-14%	20,391	22,447	10	20,095	19,014	-5	1,318	1,794	36	366,710	345,625	-6

***Means there are no comparison figures**

Figure 1: Membership for Stand-alone Funds for the first quarter ended 31 March 2016



5.0 Contributions

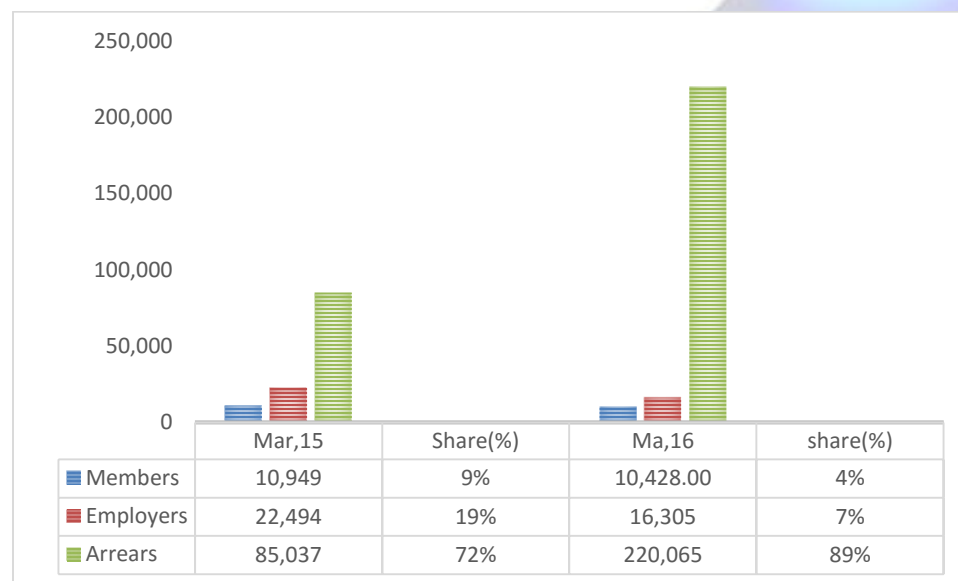
The total contributions for standalone pension funds as at 31 March 2016 were \$247million, a growth of 92 % from the same period last year. Of the total contributions of \$247 million contributions, \$220 were in arrears. Of the total contributions, 89% were in arrears. Employer contributions remitted to the funds during the period under review fell by 27% from \$22million reported previously. Employee contributions also fell by 5% to \$10million. The fall in contribution inflows is a reflection going-concern challenges by sponsoring employers and employee rationalization. Arrear contributions grew to \$220 million dollars from \$85 million, a growth of 108% from the previous year. This reflects the cash flow challenges that currently prevailing in the economy. IPEC continues to monitor payment plans by employers in order to arrest this challenge (See Table 3 and Figure 2, below).

Table 3: Contribution Statistics per Standalone Fund for the first quarter ended 31 March 2016.

Fund Name	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-15	Growth
Catering IPF	246	268	9%	246	268	-70%	0	0	0%	0	505	0%	492	1,041	112%
Clothing IPF	625	191	-69%	876	267	-26%	419	782	87%	1,501	1,876	25%	3,421	3,116	-9%
CAIPF	364	402	10%	1,093	806	4%	511	339	-34%	19,633	25,946	32%	21,601	27,493	27%
CIPF	363	376	4%	363	376	-50%	0	0	0%	33	96	191%	759	848	12%
LAPF	1,936	1,847	-5%	10,632	5,343	-6%	0	0	0%	34,480	151,833	340%	47,048	159,023	238%
MIPF	4,010	3,767	-6%	4,011	3,770	0%	501	47	-91%	511	1,170	129%	9,033	8,754	-3%
NRZ	841	748	-11%	0	0	-36%	0	0	0%	460	1,982	331%	1,301	2,730	110%
ZB FHGPF	144	94	-35%	212	135	1%	0	0	0%	0	0	0%	356	229	-36%
Zimbabwe Electricity I	1,776	1,790	1%	3,775	3,803	0%	0	0	0%	17,552	21,290	21%	23,103	26,883	16%
ZESA PF	0	0	0%	0	0	-62%	0	0	0%	0	0	0%	0	0	0%
GMB	93	37	-60%	404	155	0%	572	853	49%	4,084	5,241	28%	5,153	6,286	22%
Specialised Bus M	*	0	0%	*	0	8%	*	0	0%	*	0	0%	*	1	0%
Motor Ind	514	557	8%	769	834	0%	44	1,504	3318%	3,305	3,760	14%	4,632	6,655	44%
Pentact P/F	1	1	0%	1	1	0%	0	0	0%	0	0	0%	2	2	0%
Unified Councils P/F	*	331	0%	*	497	-55%	*	250	0%	*	375	0%	*	1,453	0%
ZMDC	36	19	-47%	112	50	-70%	360	0	0%	1,071	2,216	107%	1,579	2,285	45%
Total	10,949	10,428	-5%	22,494	16,305	-28%	2,407	3,775	57%	82,630	216,290	162%	118,480	246,799	108%

*Means no comparison

Figure 2: Contributions Statistics per Stand-alone Fund for the first quarter ended 31 March 2016 (\$000)



6.0 Income and Expenditure

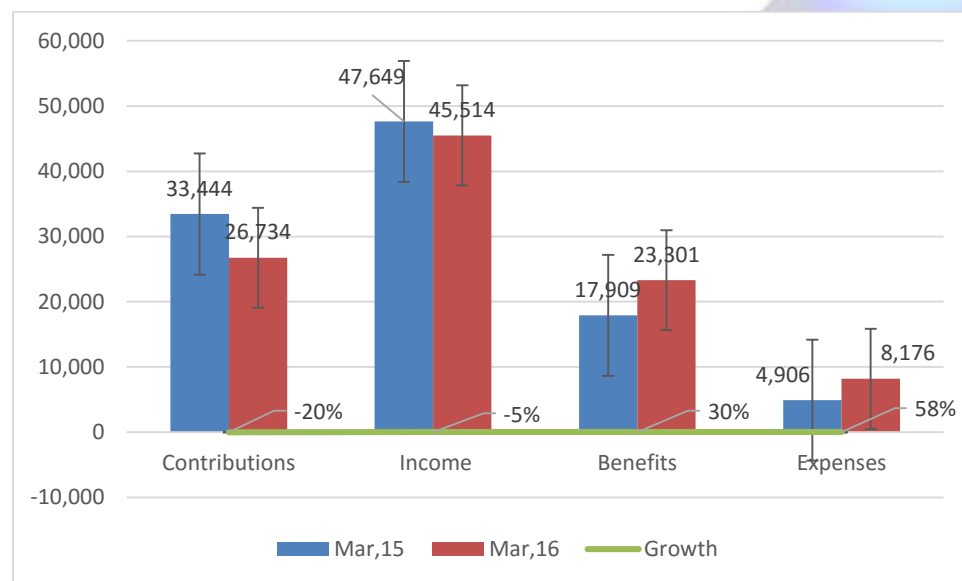
For the period ending 31 March 2016, total received contributions were \$27million, a 20% decline from \$33 million reported in the same period last year. Standalone pension funds realized \$46 million in total income which is a 5% decline from \$48million dollars in the corresponding period in 2015. Expense ratios rose from an average of 15% at the period ending 31 March 2015 to 31% at the period ending 31 March 2016. This is partly due to non-cash flow items like investment losses grossed in the expenditure bill and a fall in contribution remittances even against relatively flat costs.

Benefits grew sharply by 30% to \$23million fueled by retrenchments and company closures as reported in the public press in recent months. (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per Stand-alone Fund for the first quarter ended 31 March 2016(\$000)

	Total Contributions Exc arrears			Total Income			Benefits Paid			Expenses			Expenses/contributions			Expenses/Total Income		
	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth
Catering IPF	492	536	9%	767	1,011	32%	189	250	32%	210	248	18%	43%	46%	3%	27%	25%	-11%
Clothing IPF	1,501	458	-69%	1,781	731	-59%	75	107	43%	255	307	20%	17%	67%	50%	14%	42%	28%
CAIPF	1,457	1,208	-17%	4,167	3,922	-6%	2,808	3,510	25%	573	952	66%	39%	79%	40%	14%	24%	10%
CIPF	726	752	4%	753	731	-3%	239	255	7%	729	373	-49%	100%	50%	-50%	97%	51%	-46%
LAPF	12,568	7,190	-43%	14,500	9,581	-34%	6,523	7,095	9%	488	554	14%	4%	8%	4%	3%	6%	3%
MIPF	8,021	7,537	-6%	11,038	11,994	9%	2,573	4,046	57%	988	1,556	57%	12%	21%	9%	9%	13%	4%
NRZ	841	748	-11%	4,533	4,333	-4%	3,885	4,281	10%	475	2,347	394%	56%	314%	258%	10%	54%	44%
ZB FHGPF	356	229	-36%	630	451	-28%	656	139	-79%	50	33	-34%	14%	14%	0%	8%	7%	-1%
Zimbabwe Electricity I	5,551	5,593	1%	6,821	7,184	5%	184	191	4%	591	362	-39%	11%	6%	-5%	9%	5%	-4%
ZESA P/F	*	0	0%	*	2,951	0%	*	1,939	0%	*	204	0%	*	61%	*	*	7%	*
GMB	497	192	-61%	678	407	-40%	8	9	13%	144	118	-18%	29%	61%	-32%	21%	29%	8%
Specialised Business M	1	1	0%	1	1	0%	11	0	-100%	36	0.06	-100%	24%	-	-18%	-	7%	*
Motor Ind	1,283	1,391	8%	1,736	1,229	-29%	747	1,176	57%	331	323	-2%	26%	23%	-3%	19%	26%	7%
Unified Councils P/F	*	828	0%	*	863	0%	*	227	0%	*	463	0%	*	56%	*	*	54%	*
Pentact P/F	2	2	0%	3	-2	-167%	0	0	0%	0	-	0%	12%	-	-	0%	-%	-10%
ZMDC	148	69	-53%	241	127	-47%	11	76	591%	36	13	-64%	24%	19%	-5%	-	10%	*
Totals	33,444	26,734	-20%	47,649	45,514	-5%	17,909	23,301	30%	4,906	8,176	58%	15%	31%	16%	10%	18%	8%

Figure 3: Income and Expenditure for Standalone Funds for the first quarter ended 31 March 2016(\$000)



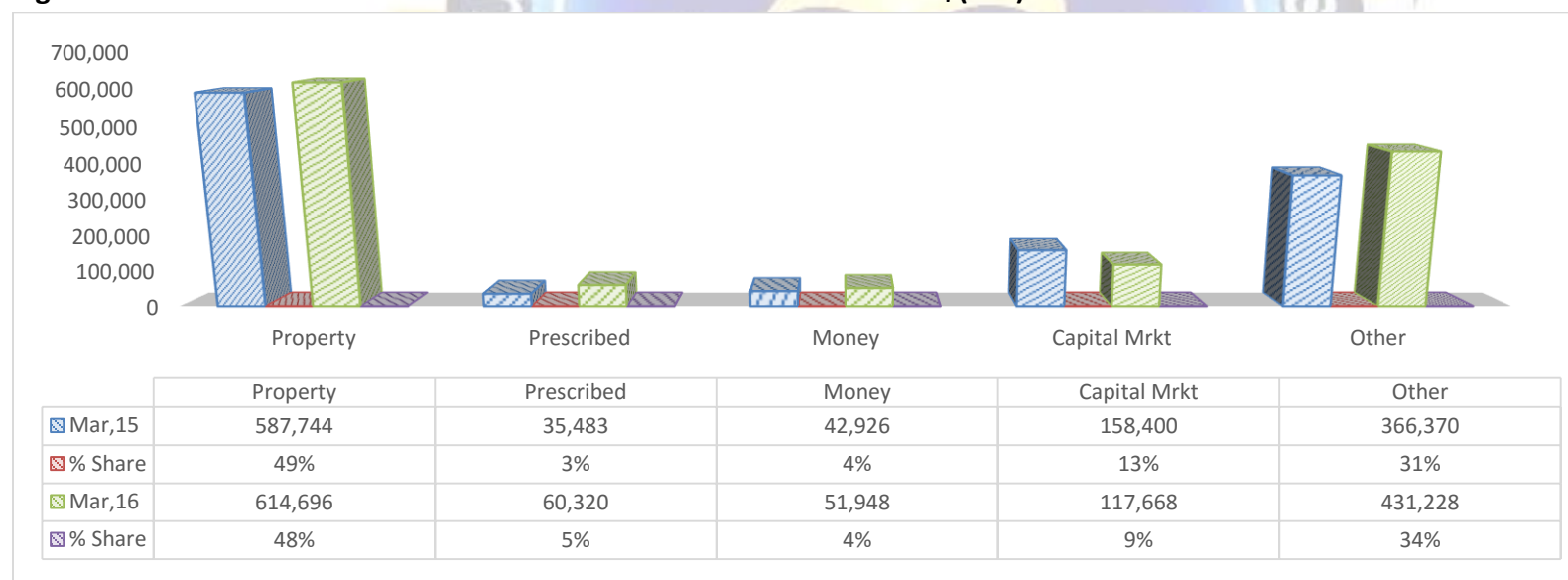
7.0 Fund Assets for Standalone Self- Administered Funds

The total assets of the standalone pension funds increased by 7% from \$1, 19 billion to \$1,278 billion as at 31 March 2016. As at 31 March 2016 , assets of standalone funds were invested in : property-48% or \$615million(March 2015:49% or \$588million},equities-\$118 million or 9% (M a r c h 2015:13% or \$158million),money market-\$52million or 4% (March 2015:4% or \$43million), other assets -\$431million or 34%(March 2015:31% or \$366million) and \$60million or 5% on prescribed assets(March 2015:4% or \$35million) .The industry must continue to observe actuarial guidelines from IPEC as well as those from their own actuaries to maintain the right asset liability mix (See Tables 5, 6 and Figure 4, below).

6: Fund Assets Market Value per Standalone Fund as at 31 March 2016 \$(000)

Fund Name	Immovable Property			Prescribed Assets			Money Market			Capital Market Securities			Other			Totals		
	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth
Catering IPF	8,686	8,592	-1%	102	73	-28%	115	145	26%	4,862	4,840	0%	886	2,398	171%	14,651	16,048	10%
Clothing IPF	10,845	11,278	4%	393	161	-59%	1,561	3,034	94%	4,191	2,400	-43%	1,552	2,188	41%	18,542	19,061	3%
CAIPF	84,921	90,649	7%	8,045	11,994	49%	5,887	0	-100%	16,839	9,127	-46%	40,524	51,470	27%	156,216	163,240	4%
CIPF	17,651	17,211	-2%	318	540	70%	0	0	*	5,815	6,087	5%	1298	3,494	128%	25,082	27,332	9%
LAPF	82,165	82,165	0%	200	76	-62%	0	0	0%	32,790	26,443	-19%	136,108	161,980	19%	251,263	270,664	8%
MIPF	102,336	96,655	-6%	11,333	12,379	9%	5,682	7,515	32%	55,702	36,615	-34%	2,512	7,190	186%	177,565	160,354	-10%
NRZ	227,580	220,570	-3%	3,642	12,338	239%	7,358	9,860	34%	13,265	12,338	-7%	124,856	152,264	22%	376,701	407,370	8%
ZB FHGPF	3,968	4,838	22%	1,854	2,600	40%	6,546	6,521	-	5,873	4,701	-20%	174	191	10%	18,415	18,851	2%
Zim/Electricity I	29,880	35,436	19%	5,579	9,858	77%	10,100	15,600	54%	5,036	3,340	-34%	48,155	6,058	-87%	98,750	70,292	-29%
ZESA P/F	*	20,420	*	*	2,882	*	*	2,520	*	*	-	*	*	13,347	*	*	39,169	*
GMB	9,478	9,478	0%	314	0	-100%	0	228	*	7	374	5243%	4,893	4,380	-10%	14,692	14,460	-2%
/Business M	0	0	0%	2	3	50%	9	13	44%	2	6	200%	-	0	*	13	22	69%
Motor Ind	8,660	8,913	3%	3,701	5,538	50%	5,125	5,797	13%	13,614	11,240	-17%	3,751	4,244	13%	34,851	35,732	3%
Pentact P/F	0	*	*	0	*	*	0	0	0%	227	6	-97%	0	0	*	227	6	-3%
U/Councils P/F	*	6,917	*	*	217	*	*	267	*	*	0	*	*	19,590	*	*	26,991	*
ZMDC	1,574	1,574	0%	0	1,661	*	547	448	-18%	177	151	-16%	1,661	2,434	47%	3,959	6,268	58%
Totals	587,744	614,696	5%	35,483	60,320	70%	42,926	51,948	21%	158,400	117,668	-26%	366,370	431,228	18%	1,190,923	1,275,860	7%

Figure 4: Fund Asset Values for Standalone Funds as at 31 March 2016 \$(000)





SECTION B:

INSURER ADMINISTERED FUNDS

1.0 Insurer Self-Administered Pension Funds

This report covers 32 funds administered by 3 assurers, the fourth assurer is under suspension (See Table 1, below).

Table 1: Fund Administrators

Insurer	Mar 2016
First Mutual	5
Old Mutual	25
Alfin	Currently under suspension
Zimnat	2
TOTALS	32

2.0 Pension Fund Membership

For the quarter ended 31 March 2016, total fund membership for the self-administered funds under insurers was 28 000. The figure is constant as at 31 March 2015. The active members remained flat at 92% of total membership, pensioners and beneficiaries also remained the same. (See Table 2 and Figure 1, below).

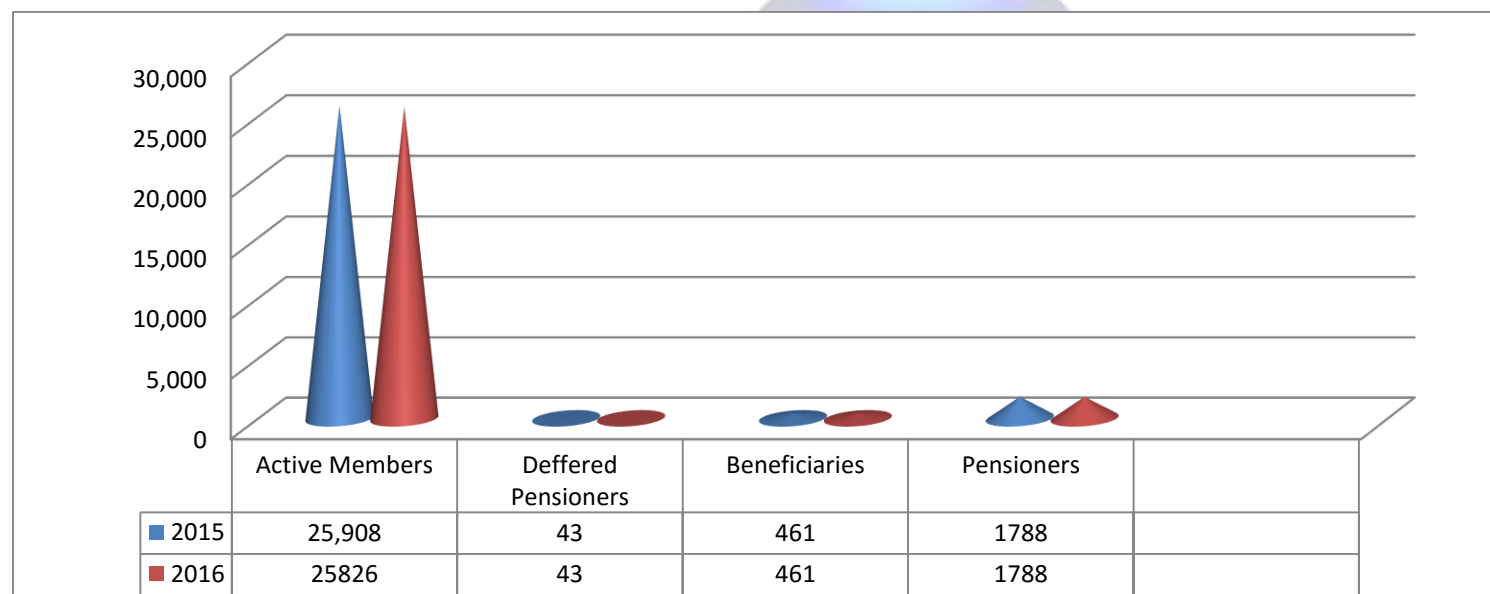
Table 2: Membership for Insured Self- Administered Pension Funds for the first quarter ended 31 March 2016

Insurer	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth
First Mutual	3,828	4,469	17%	-	0	*	0	0	0%	0	0	0%	-86	-49	-43%	3,828	4,469	17%
Old Mutual	21,862	21,170	-3%	43	43	0	1,788	1,788	0%	461	461	0%	-423	-412	-3%	24,154	23,462	-3%
Altfm	-	**	**	-	**	**	-	**	**	-	**	**	-	**	**	*	**	**
Zimnat	218	187	-14%	0	0	0%	0	0	0%	0	0	0%	0	0	0%	218	187	-14%
Totals	25,908	25,826	0%	43	43	0%	1,788	1,788	0%	461	461	0%	509	-461	-191%	28,200	28,118	0%

*No figures for comparison

** Institution was suspended from operations

Figure 1: Membership Statistics for Insured Self-Administered Funds for the first quarter ended 31 March 2016



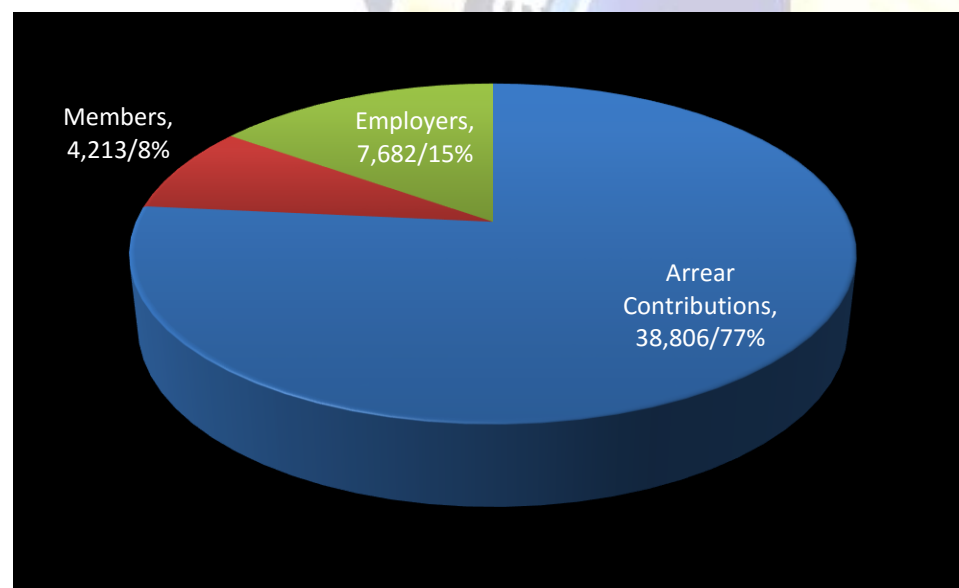
2.0 Contributions

For the period ending 31 March 2016 the total contributions of self-administered funds that are under the purview of insurers grew by 1% from 50 million dollars to 51 million dollars from the same period last year. The employer's contributions dropped by a 5% to \$8 million in the current review period whilst employee contributions fell by 2%. However, arrear contributions grew by a 3% margin from the previous \$38 million to the current \$39 million. Arrear contributions constitute 77% of the total contributions. The Commission continues to monitor the situation and expects full redress of this challenge in sympathy with economic improvements in the medium to long term (See Table 3 and Figure 2, below).

Table 3: Contributions Statistics for Insured Self-Administered Funds for the first quarter ended 31 March 2016

Insurer	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	Mar-15	Mar-16	Growth	Mar 2015	Mar -16	Growth	Mar-15	Mar-15	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth
First Mutual	1,604	1,526	-5%	2,291	1,948	-15%	-	0	0%	28,837	30,142	5%	32,732	33,616	3%
Old Mutual	2,611	2,621	0%	5,653	5,627	0%	0	0	0%	8,702	8,636	-1%	16,966	16,883	0%
Altfin	-	**	**	-	**	**	0	**	0%	-	**	**	0	**	**
Zimnat	68	67	-1%	176	107	-39%	0	0	0%	29	28	-3%	273	202	-26%
Totals	4,283	4,214	-2%	8,120	7,682	-5%	0	0	0%	37,568	38,806	3%	49,971	50,701	1%

Figure 3: Contributions Statistics for Insured Self-Administered Funds for the first quarter ended 31 March 2016



3.0 Income and Expenditure

For the current review period, total contributions collection for self-administered funds negatively grew by 4% to \$12 million. Resultantly, the total income realized for the period fell by 49% from \$15 million to the current \$8million. The average expense contribution ratio increased from 15% as at 31 March 2015 to 25% as at 31 March 2016 due mainly to reduced inflows of contributions and investment returns.

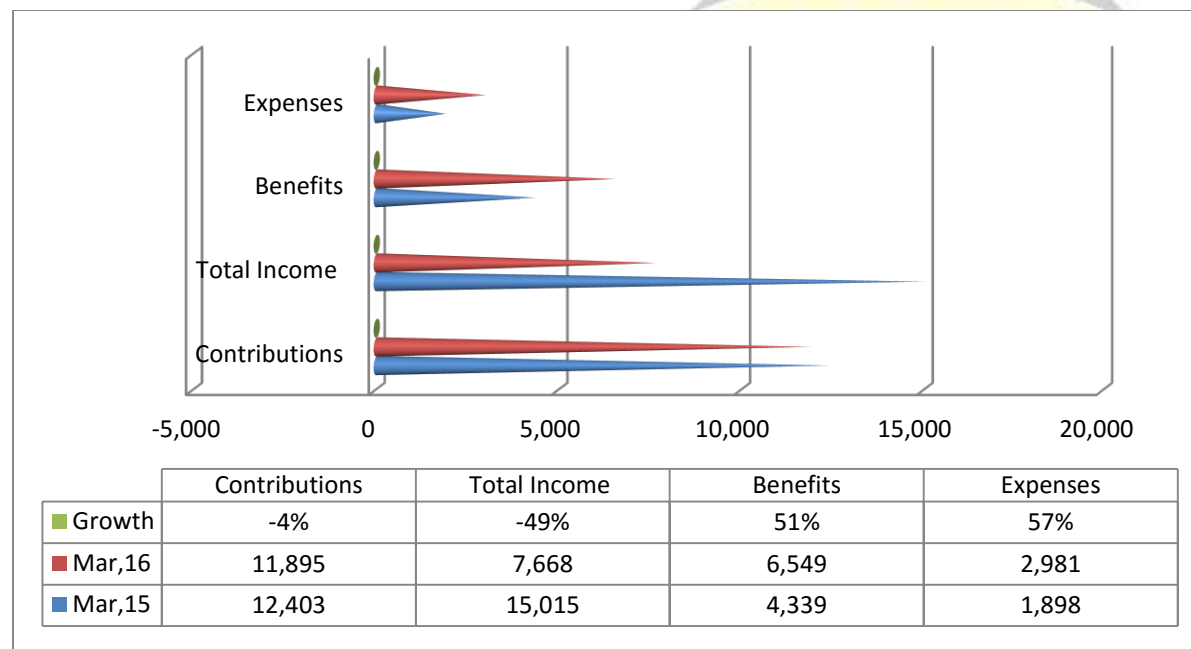
The benefits paid during the period under review grew by 51% from \$4 million previously to \$7million for the quarter ended 31 March 2016. This was due to Statutory Instrument 25 of 2016 which increased members' access to full pensions commutation and job cuts by some sponsoring employers exacerbated by the three month notices of employment contract terminations. The expense /total income ratio also rose from 13% to 39%. This was so because the total income fell within the period under review from the previous reporting period. (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure for Self-Administered Funds Administered by Insurers \$(000)

Insurer	Total Contributions (Excl arrears)			Total Income			Total Paid Benefits			Expenses			(Expenses/Contributions) %			(Expenses/Total Income) %		
	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth
First Mutual	3,895	3,474	-11%	3,896	3,554	-9%	249	586	135%	350	547	56%	9%	16%	7%	9%	15%	6%
Old Mutual	8,264	8,248	0%	10,813	3,664	-66%	4,065	5,870	44%	1,438	2,115	47%	17%	26%	9%	13%	58%	45%
Altfin	-	**	**	-	**	**	-	**	**	-	**	**	-	**	**	-	**	**
Zimnat	244	174	-29%	306	451	47%	25	93	272%	110	319	190%	45%	183%	138%	36%	71%	35%
Totals	12,403	11,896	-4%	15,015	7,668	-49%	4,339	6,549	51%	1,898	2,981	57%	15%	25%	10%	13%	39%	26%

****Institution was suspended from operations**

Figure 3: Income and Expenditure for Insured Self-Administered Funds for the first quarter ended 31 March 2016 (\$'000)



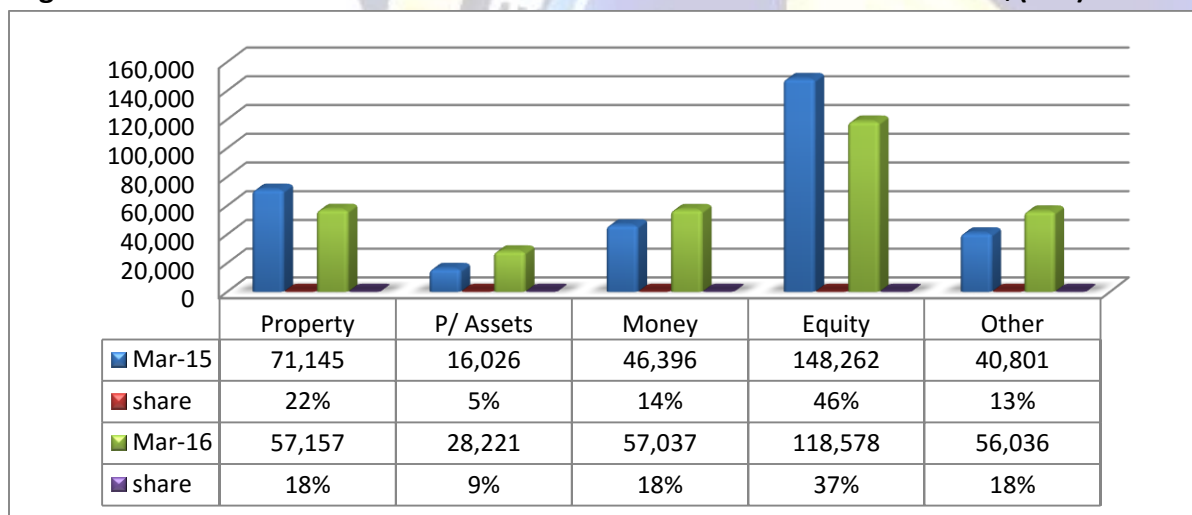
3.0 Fund Assets for the Period ending 31 March 2016 for Self-Administered Under the Administration of Insurers

The total assets for the insurer-administered pension funds shed 2% from \$323million to \$317million as at 31 March 2016. Their investment assets were invested as follows : property-18% or \$57million(March 2015:22% or \$71million),equities-\$119 million or 37% (M a r c h 2015:46% or \$148million),money market-\$57million or 18% (March 2015:14% or \$46million), other assets -\$56million or 18%(March 2015:13% or \$41million) and \$28million or 9% on prescribed assets(March 2015:5% or \$16million) .The industry must continue to observe actuarial guidelines from IPEC as well as those from their own actuaries to maintain the right asset liability mix (See Tables 5, 6 and Figure 4, below).

Table 6: Fund Asset Statistics at Market Value for Insured Self-Administered Funds as at 31 March 2016 \$(000)

Fund Name	Immovable Property\$(000)			Prescribed Assets\$(000)			Money Market Securities\$(000)			Capital Market Securities\$(000)			Other\$(000)			Total\$(000)		
	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth
First Mutual	14,621	16,339	12%	555	582	5%	3,231	-	-69%	23,911	-	-69%	28,900	51,636	47%	71,218	68,557	-4%
Old Mutual	56,524	40,818	-28%	15,196	27,143	79%	42,318	54,283	28%	122,209	109,301	-11%	11,519	13,487	17%	247,766	245,032	-1%
Altfin	-	**	**	-	**	**	-	**	**	-	**	**	-	**	**	0	**	**
Zimnat	0	0	0%	275	496	80%	847	930	10%	2,142	1,877	-12%	382	137	-64%	3,646	3,440	-6%
Totals	71,145	57,157	-20%	16,026	28,221	76%	46,396	57,037	23%	148,262	118,578	-20%	40,801	56,036	37%	322,630	317,029	-2%

Figure 4: Fund Assets for Insured Self-Administered Funds as at 31 March 2016 \$(000)





SECTION C:

FUND ADMINISTRATORS

1.0 Fund Administrators

This report is based on 138 funds in the books of Minerva, Marsh, ZIB and Comarton Fund administrators (See Table 1, below).

Table 1: Fund Administrators

Fund Administrator	Mar 2016
Minerva	58
Comarton Consultants	28
ZIB	3
Marsh	45
TOTALS	138

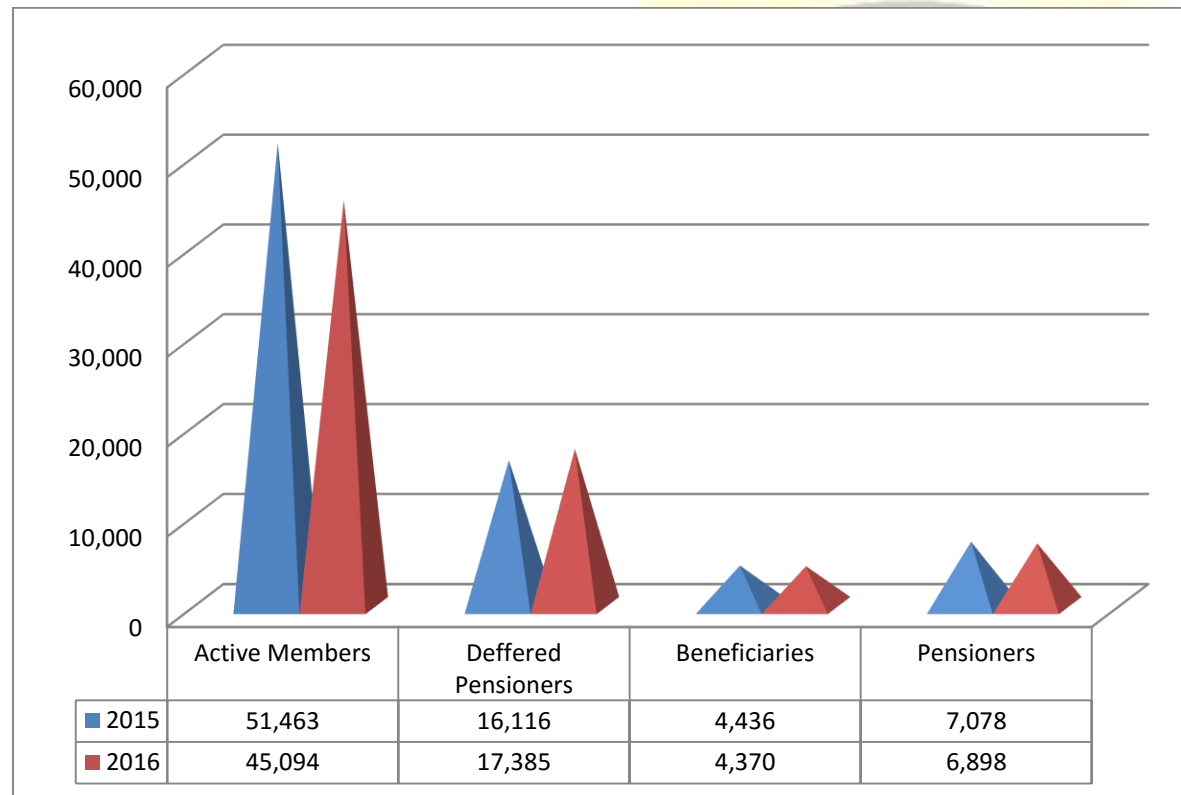
2.0 Pension Fund Membership

For the period ending 31 March 2016, total fund membership for fund administrators was 73,700, a 7% decline from 79 000 membership reported as at 31 March 2015. The population for active members also declined by a 12% margin from 51, 460 as at 31 March 2015 to 45,100 as at 31 March 2016. The decline in active membership across the whole pension industry between the two periods could have been a result of the retrenchments that occurred after the 27 June 2015 Judgment by the high court on employers having liberty to relieve employees from employment. Deferred pensioners increased by 8% from 16,100 reported as at 31 March 2015 to 17,380 as at 31 March 2016. (See Table 2 and Figure 1, below)

Table2: Membership for Self- Administered Funds for the quarter ended 31March 2016

Administrator	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth
Minerva	20,877	17,770	-15%	10,593	11,437	8%	1,766	1,769	0%	1,092	1,057	-3%	-650	-2,594	299%	34,328	32,033	-7%
Comarton	14,722	13,933	-5%	521	89	-83%	2,129	2,155	1%	1,729	1,784	3%	-165	-431	161%	19,101	17,961	-6%
ZIB	451	129	-71%	0	0	0%	6	0	-100%	5	0	-100%	-2	4	-300%	462	129	-72%
Marsh	15,413	13,262	-14%	5,002	5,859	17%	3,177	2,974	-6%	1,610	1,529	-5%	-741	-221	-70%	25,202	23,624	-6%
Totals	51,463	45,094	-12%	16,116	17,385	8%	7,078	6,898	-3%	4,436	4,370	-1%	-1558	-3,242	108%	79,093	73,747	-7%

Figure 1: Membership for the first quarter ended 31 March 2016



3.0 Contributions

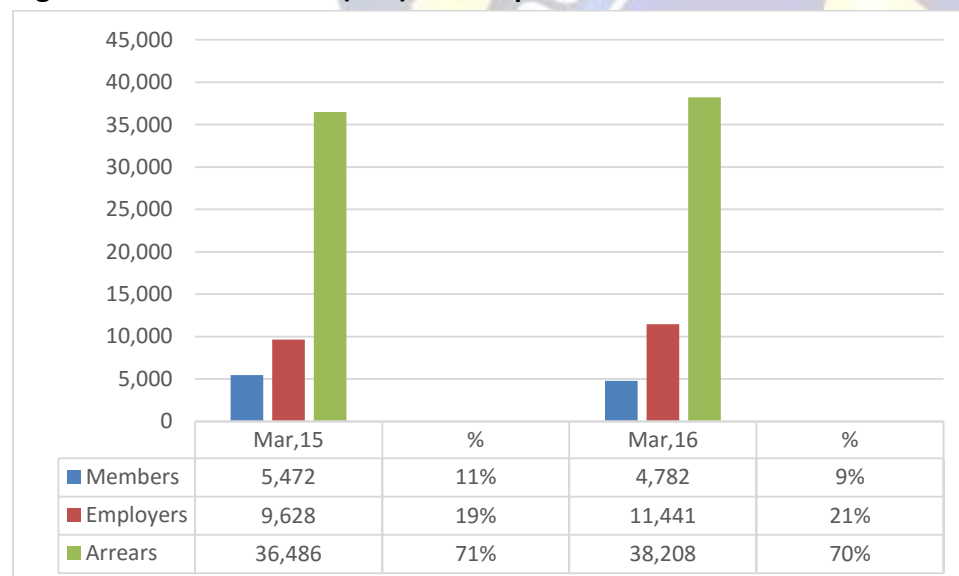
For the current reporting period total contributions that were received by fund administrators for the self-administered funds amounted to \$16million. At \$4.7 million, employee contributions fell by 13% or \$4,8million for the period ended 31 March 2016. Employer contributions increased by 19% from \$9,6million previously to \$11,4million dollars as at 31 March 2016. During the period under review, arrear contributions

were \$38 million dollars or 70% of total contributions (March 2015: \$36million or 71%) showing indifferent capacity and or commitment to fully pay same (See Table 3 and Figure 2below).

Table 3: Contributions Statistics for Self-Administered Funds for the first quarter ended 31 March 2016

Fund Name	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	Mar-15	Mar-16	Growth	Mar 2015	Mar 2016	Growth	Mar 2 015	Mar 2 016	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth
Minerva	3,263	2,430	-26%	5,529	5,589	1%	2,237	3,443	54%	4,383	5,462	25%	15,412	16,924	10%
Comarton	497	760	53%	1,240	1,621	31%	160	514	221%	19,592	17,972	-8%	21,489	20,867	-3%
ZIB	20	10	-50%	45	23	-49%	0	10	0%	416	533	28%	481	576	20%
Marsh	1,692	1,582	-7%	2,814	4,208	-7%	0	0	0%	9,698	10,274	6%	14,204	16,064	13%
Total	5,472	4,782	-13%	9,628	11,441	19%	2,397	3,967	65%	34,089	34,241	-49%	51,586	54,431	5%

Figure 2: Contributions \$(000) for the period ended 31 March 2016



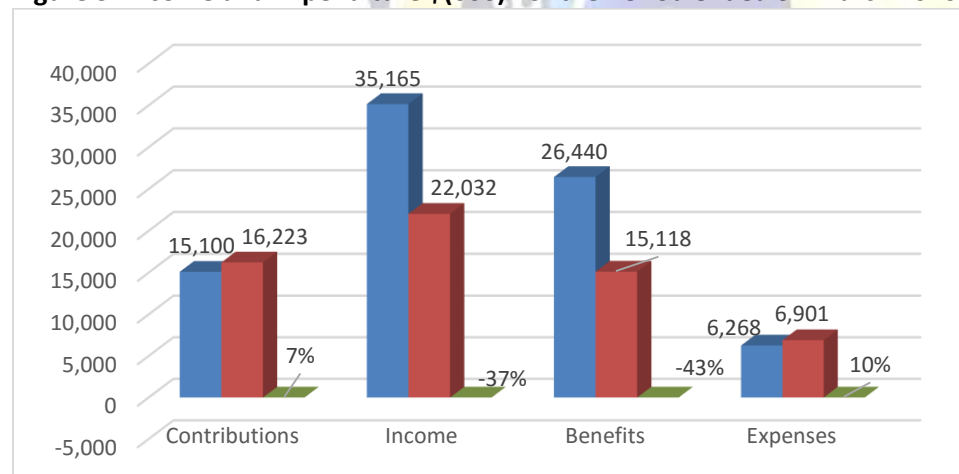
4.0 Income and Expenditure for Self- Administered Funds Under the Administration of Employee Benefits Companies

During the current review period, fund administrators received total contributions amounting to \$16 million dollars, a 7% growth from the same period last year. The expenses bill grew by 10% from \$6 million to \$7million for the current reporting period. This resulted in expenses to contribution ratio of up to 43 %. The lesser the expenses to contribution ratio, the better the buildup on pension benefits for the members of the pension funds. Cost rationalization efforts continue to be pursued in collaboration with players. (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure for Self-Administered Funds for the first quarter ended 31 March 2016 \$(000)

Fund Name	Total Contributions (Excl arrears)			Total Income			Total Paid Benefits			Expenses			(Expenses/Contributions) %			(Expenses/Total Income) %		
	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth
Minerva	8,792	8,019	-9%	26,044	10,345	-60%	23,111	10,697	-54%	3,164	3,321	-63%	36%	41%	-204%	12%	32%	20%
Comarton	1,737	2,381	37%	2,543	4,502	77%	1,284	2,524	97%	996	1,860	87%	57%	78%	21%	39%	41%	2%
ZIB	65	33	-49%	69	33	-52%	0	0	0%	5	1	-80%	8%	3%	-5%	7%	3%	4%
Marsh	4,506	5,790	-7%	6,509	7,152	10%	2,045	1,897	-7%	2,103	1,719	-18%	47%	30%	-17%	32%	24%	-8%
Totals	15,100	16,223	7%	35,165	22,032	-37%	26,440	15,118	-43%	6,268	6,901	10%	42%	43%	1%	18%	31%	13%

Figure 3: Income and Expenditure \$(000) For the Period ended 31 March 2016



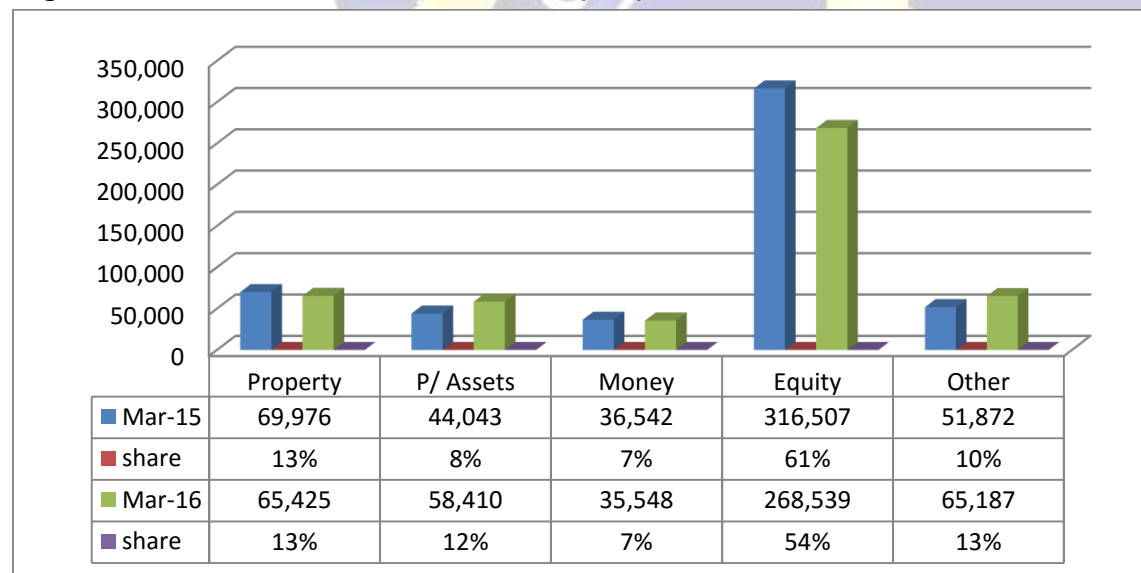
5.0 Fund Assets

The total assets under the professional administrators contracted in value by 5% from \$519million to \$493million as at 31 March 2016 due to the volatile equities market. Investment assets were spread thus: property-18% or \$65million (March 2015:22% or \$71million), equities-\$269 million or 54% (March 2015:61% or \$317million), money market-\$36million or 7% (March 2015:7% or \$37million), other assets -\$65million or 13%(March 2015:10% or \$52million) and \$58million or 12% on prescribed assets (March 2015:8% or \$44million). (See Tables 5, 6 and Figure 4, below).

Table 6: Fund Asset Statistics at Market Value for Self-Administered Funds as at 31 March 2016

Admin.	Immovable Property \$(000)			Prescribed Assets \$(000)			Money Market Securities \$(000)			Capital Market Securities \$(000)			Other \$(000)			Total \$(000)		
	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth
Minerva	24,220	20,784	-14%	27,081	34,467	27%	0	24,483	100%	174,677	148,261	-15%	31,276	18,648	20%	257,254	246,643	-4%
Comarton	0	0	0%	5,965	8,737	46%	17,124	17,225	1%	64,983	63,254	-3%	0%	0%	0%	88,072	89,216	1%
ZIB	0	0	0%	23	0	-100%	54	8	-85%	272	98	-64%	416	536	22%	765	642	-16%
Marsh	45,756	44,645	-2%	10,974	15,207	39%	19,364	14,310	-26%	76,575	56,926	-26%	20,180	25,525	21%	172,849	156,613	-9%
Totals	69,976	65,429	-6%	44,043	58,410	33%	36,542	35,548	-3%	316,507	268,539	-15%	51,872	65,187	20%	518,940	493,114	-5%

Figure 4: Fund Assets as at 31 March 2016 \$(000)



6.0 Legislation Amendments and Circulars

As reported previously, the amendments to the Pension and Provident Funds Act Chapter 24:09 are still ongoing. However, the following Statutory Instruments were promulgated.



Statutory Instrument	Subject	Date gazetted
Statutory Instrument 21 of 2016	Insurance and Pensions Commission (Levy) Regulations, 2016	12 February 2016
Statutory Instrument 22 of 2016	Pensions and Provident Funds (Amendment) Regulations, 2016	12 February 2016
Statutory Instrument 23 of 2016	Insurance (Amendment) Regulations, 2016	12 February 2016
Statutory Instrument 24 of 2016	Pension and Provident Funds (Amendment) Regulations, 2016 Commutations	19 th February 2016
Statutory Instrument 25 of 2016	Insurance (Amendment) Regulations ,2016 Prescribed Assets	19 th February 2016
Circulars	Subject	Date Circulated
Circular 1 of 2016	Investment Guidelines for Life and Self-Administered Funds	14 January 2016
Circular 2 of 2016	Benefit Statements to Members of Pension Funds	4 March 2016

7.0 PRESCRIBED INSTRUMENTS AVAILABLE ON THE MARKET

Issuer	Application Year	Purpose of Issue	Bond Amount and Coupon Rate	Amount raised	Uptake Ratio	Current Status
ZPC KSPS	2014	To support the energy sector	\$50million at 8%	\$25.05 million raised to date	50%	Open
Agribank and FBC	2015	Support the 2015/2016 agricultural season	\$10million at a coupon rate of 10%p. a	Initial application of US\$10million approved on the 09 th of September 2015. Second application of \$10million approved on the 06 November 2015. The total amount is now \$20million		Open
Afreximbank	2015		\$100million	Approved on 08 Jan 2015. No update on amount raised and uptake ratios		
Old Mutual		Finance Budiriro Housing Project	\$62.8million at a coupon rate... and tenure of 10 years			
IDBZ	2016	Finance Housing projects	\$5 million at 9.5% coupon rate, tenure 5 years	Approved on 11 May 2016		Open
Honde Hydro Power Consolidated	2016	Construction of Power Station	\$5 million at 8.5% to 9% coupon rate	Approved on 11 May 2016		Open
N.M.B Bank	2016	Housing Project	\$10 million, 8% coupon rate, tenure 5 years			Open

Conclusion

The major challenges for the pensions industry continue to be arrear contributions, high expense ratios resulting from dwindling collected contributions compared against expenses that are rising for administering pension funds. Complaints about meager benefits continue to be received by IPEC despite that the conversion from Zimbabwean dollar to US dollars was done 7 years back.



